

Power Finance Corporation Ltd (PFC)

ROE	19.49%
ROCE	9.96%
CFO Quality	Accrual Risk
Capital Allocation	Growth Funded by Debt

Strengths

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Net profit compounding at above 20% over 5 years creates significant shareholder value.
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
- Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

- Debt-to-equity ratio of 8.52 is elevated and warrants monitoring.
- Interest coverage ratio below 1.5x indicates risk in meeting debt obligations.